

# Bolsa Mexicana de Valores BOLSAA

December 20, 2025 - 3:41pm EST  
by

clancy836

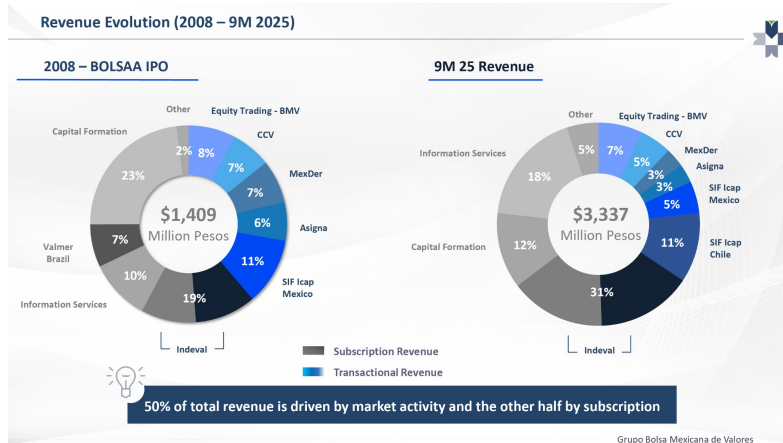
2025 2026

|                      |       |          |   |   |
|----------------------|-------|----------|---|---|
| Price:               | 39.70 | EPS      | 0 | 0 |
| Shares Out. (in M):  | 556   | P/E      | 0 | 0 |
| Market Cap (in \$M): | 2,209 | P/FCF    | 0 | 0 |
| Net Debt (in \$M):   | -300  | EBIT     | 0 | 0 |
| TEV (in \$M):        | 1,900 | TEV/EBIT | 0 | 0 |

## Description

**Bolsa Mexicana de Valores (BOLSAA.MX)** owns and operates the major Mexican national stock exchange of the same name, in addition several attractive monopoly or near-monopoly franchises including the national central securities depository Indeval, derivatives exchange and clearing house businesses MexDer and Asigna, and attractive high-margin recurring revenue streams from financial information services and financial risk management software (Valmer), and fixed income and equity index licensing partnerships with S&P. Bolsa also has a joint venture with TCP ICAP owning a major interdealer broker in Mexico, Chile, and Peru.

Since Bolsa's 2008 IPO, the revenue share of its lucrative and high-quality businesses like Indeval and data services is progressively continuing to eclipse legacy revenue from equity trading and capital formation, with Indeval's total assets under custody growing by nearly 50% since 2021.

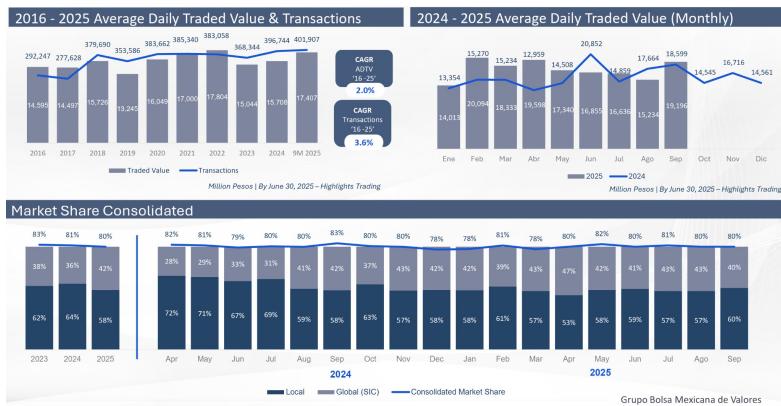


National securities exchange and central depository businesses are historically very attractive and high-quality businesses with low capital intensity and sustainable above-average profitability. Supported by the continued shift toward its higher-margin recurring revenue businesses, Bolsa has demonstrated a consistently attractive RoE in the twenties and maintained an EBITDA margin in the 50s to 60s, but currently trades at a ~7X EV/EBITDA and a forward PE near 12 (arguably unsustainably cheap for a business of this quality) while returning significant capital to shareholders via dividends and accelerating a recent buyback program at accretive prices. The net cash balance sheet provides plenty of room to further shrink the share count if current valuations persist.

Bolsa was last written up by a long back in June 2020 at \$43.70/share by VIC member zbeex; since then the share price has largely stagnated even as recent results show renewed growth in Bolsa's most attractive high-margin businesses, the company has picked up the pace on a recent buyback authorization, and several favorable long-term catalysts are beginning to take shape, including significant domestic pension reforms that should more than double Bolsa's assets in custody over the coming decade while providing a secular tailwind to Mexico's underpenetrated financial services ecosystem. Overall, I think an investment in Bolsa is a timely way to add some international diversification into a straightforward high-quality business with a durable moat and above-average profitability at attractive valuations.

### Competitive threat from BIVA has proved largely insignificant

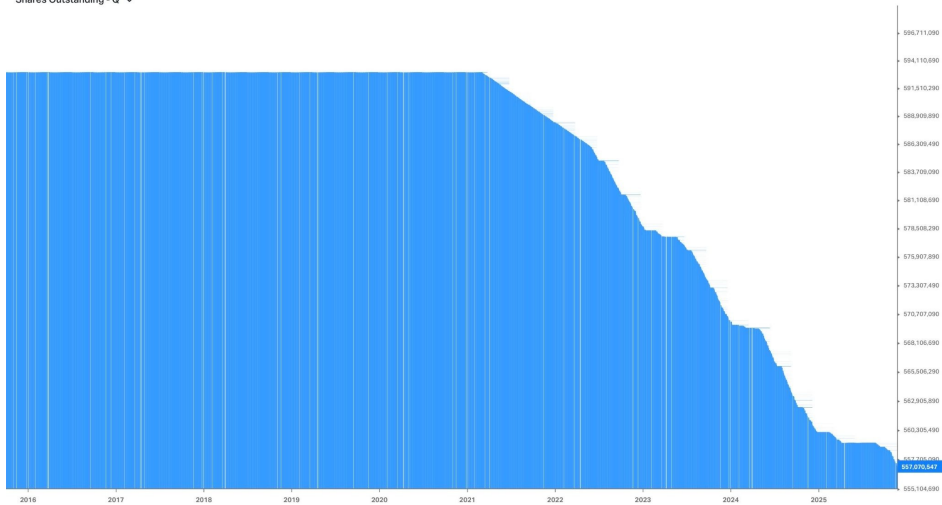
As explained in further detail in zbeex's 2020 writeup, one factor depressing the valuation of Bolsa shares has been the launch of BIVA (Bolsa Institucional de Valores), founded in 2018 purportedly to drive increased competition by providing an alternate listing venue. As predicted by zbeex, the data continue to show that significant competition from BIVA has largely failed to materialize, with Bolsa's legacy equity exchange business continuing to maintain overwhelming domestic market share, and the much more attractive depository, derivatives, and data services businesses essentially being entirely unaffected.



## Capital allocation and buybacks

As Bolsa stock has remained at attractive levels relative to global exchange peers, in recent years management and the Board have become increasingly attentive to returning capital to shareholders. Bolsa launched an ongoing buyback program in 2020 and has since repurchased over 32 million shares (reducing the share count from 593M to <560M), with plenty of room on the balance sheet to shrink the share count significantly going forward.

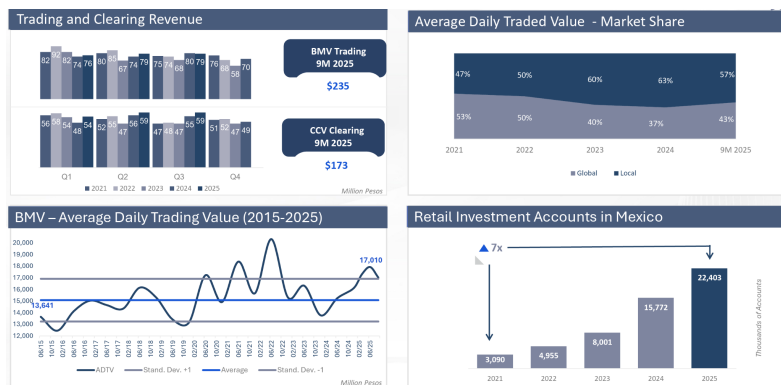
Shares Outstanding - Q ▼



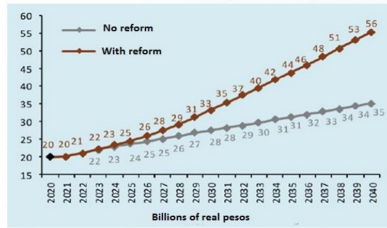
## Future tailwinds from pension reform and increasing financialization

Mexico remains significantly underpenetrated in terms of listed companies, total market capitalization, trading volume, and overall financialization for an economy of its size, creating an potentially very attractive future setup if domestic financialization begins to revert even modestly toward the global mean as development continues.

With the Buffett indicator (total market cap to GDP) currently hovering near 200 percent in the US versus near 32 percent in Mexico, there are encouraging recent signs that **recent pension reforms** are beginning to drive significant growth in retail investment accounts and domestic assets held in AFOREs (long-term pension plans). While Bolsa is currently not priced for dramatic growth, any continuation of this recent trend (paralleled by growth in domestic custody assets) could rapidly leave Bolsa shares looking unsustainably cheap.



### Projection of the Assets managed by the AFOREs (% of GDP)



### The case for exposure to EM quality deep value

With the S&P at all-time highs and US valuations growing increasingly distorted by FAANG and AI bubble shenanigans, I think it's an opportune time to look for opportunities to diversify into high-quality ex-US EM companies, particularly those like Bolsa that may be poised to benefit from eventual mean-reversion of the excessive recent outperformance of US large-cap growth.

In this sense the setup and potential catalysts are similar in some respects to VIC member Kuppy's recommendation of Brazilian exchange Brasil Bolsa Balcao (B3A), which also still looks attractive even after a recent rally, and happens to own over 4 percent of Bolsa itself. Although the current Sheinbaum / Morena government is left of center, Sheinbaum has proven to be far from extreme, and will effectively result in continuing the status quo for Bolsa's businesses. While currently polling well, like most governments Morena will eventually become unpopular, and an eventual shift to the right or center could quickly leave current valuations looking unsustainably low.

With ongoing tailwinds from nearshoring and North American supply chain diversification away from China, and with there essentially being only room to improve from the current Sheinbaum vs Trump pairing going forward, I think Mexican deep value equities will continue to climb a wall of worry over the next decade, supported by a backdrop of net positive fundamental trends as Mexicans continue to become incrementally wealthier and the current extreme underpenetration of domestic equity investment and financial services gradually begins to revert towards the global mean. Meanwhile, I'm happy to hold a stake in Bolsa's collection of structurally advantaged near-monopoly businesses while benefiting from the current >5% dividend yield and accelerating buybacks at attractive levels.

For those interested in adding more international value diversification along those lines, I'll also give a year-end shout out to FuzzyLogic's recent update on Megacable, which I continue to own for similar reasons.

Wishing everyone un feliz y prospero ano nuevo.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

### Catalyst

- continuing stock buybacks at attractive levels, plus ongoing returns of capital via dividends
- pension reform fuels continued growth in domestic debt and equity investments and pension assets under custody

## Messages

---

|                |                     |
|----------------|---------------------|
| <b>Subject</b> | Push back           |
| <b>Entry</b>   | 12/29/2025 03:02 AM |
| <b>Member</b>  | Forrest Gump        |

I own it and agree with a lot of what you are saying, but maybe some counterarguments to consider:

1. Valuation: Low but if you look at government bond yields this should trade much lower than developed market counterparts unless you have a differentiated view on macro. Unadjusted enterprise value metrics are a bit misleading because they hold a lot of cash which in their view is not excess
2. GDP to market cap: the differential to the US is big but there is a bit of a mismatch as many of the US listed businesses are much more international whereas most Mexican businesses are domestic focused and there are many non US businesses listed in the US. Many large developed economies are sub 100%
3. Overearning: volumes are even in Mexico slightly elevated. 20, 30% maybe and that helps on the indeval side as well
4. RoE: current returns on capital are high but the capex program is large by historical standards. Heading south?
5. Governance: Mostly controlled by financial institutions. Their interest and the interest of other shareholders is not very well aligned
6. BIVA: true so far the impact was not significant, but the company asked the regulator for approval to lower prices. To me it does look like that part of the business is getting worse
7. Capital allocation: company makes noises to potentially cut the dividend or the buyback in light of the elevated capex
8. Disintermediation: In the US IBKR internalizes c30% of volumes. I don't think that works in Mexico legally but if it did they would loose a fair amount of revenues esp. given how concentrates volume is in a handful of names (and that would hit the transaction revenue at Indeval as well)

Now the high dividend yield together with the pension reform and the introduction of a central counterparty for bonds and repos, I think this should work out ok, but thought I'd share some of the things I dont like.

---

|                |                                                         |
|----------------|---------------------------------------------------------|
| <b>Subject</b> | Re: Push back / other overlooked EM quality value ideas |
| <b>Entry</b>   | 01/02/2026 01:29 PM                                     |
| <b>Member</b>  | clancy836                                               |

Happy New Year Forrest,

Thanks, overall those are all fair counterpoints to think about.

As you mention they are also currently building out a national central bond clearance and settlement system; it appears much of their recent capex relates to buildout of this rather than ongoing maintenance capex.

[https://bmv.com.mx/docs-pub/SALA\\_PRENSA/CTEN\\_BOLE/Central%20Bond%20Counterparty\\_Authorization%2007.01.25.pdf](https://bmv.com.mx/docs-pub/SALA_PRENSA/CTEN_BOLE/Central%20Bond%20Counterparty_Authorization%2007.01.25.pdf)

While developing this business they have not made any move to limit returns of capital that I'm aware of and have been continuing buybacks and dividends; time will tell but I think this appears a structurally attractive extension to their other protected national franchises like Indeval, and the balance sheet and cash flow appear healthy enough to sustain robust returns of capital while continuing to grow into attractive adjacent business lines like this.

It's fair to mention the Buffet indicator for countries with very high market cap to GDP like the US and HK can be boosted by greater than average listings of international firms, but Mexico still appears substantially underpenetrated (from what I could find it comes in at #64, just edging out Kazakhstan, Bosnia, and Oman), creating an attractive setup if pension reforms and gradually increasing domestic wealth cause even a modest secular trend toward becoming less underpenetrated for a country of its size. My impression is there are a lot of profitable and growing domestic firms that have remained private, closely held and underleveraged simply because current prevailing valuations are too low for it to make sense to raise capital.

From what I could find, Afores are limited to a 20% maximum investment in foreign securities - over time, this is going to create some powerful reasons for increasing amounts of capital to urgently need to find a home in domestic equity and debt instruments. I'm hoping this will also create a virtuous cycle for Bolsa where a growing pool of local liquidity (and eventual mean-reversion of currently depressed market valuations closer to global norms) bring an end to the recent multi-year dearth of domestic equity and debt offerings.

Again time will tell, but there do appear to be some genuine beginnings of growth in trading volumes and domestic investment accounts off a very low base; depending on your point of view this could be either overearning or the beginning of an end to underearning (I'm betting on the 2nd, but admit to using rose colored glasses and a SAD lamp).

Part of my reason for trying to seek out some EM ideas with sustainable high business quality is that I'm getting increasingly uncomfortable with both the current valuations and the most likely future macro setup (unsustainable structural deficits, adverse demographic trends, and growing debt-to-GDP) in most developed economies, including the US. There certainly could be room for developed market govt bonds to rerate lower as people begin to wake up to growing and unsustainable trends in debt/GDP (as we're perhaps finally beginning to see in Japan after many years of being trained to accept near-zero LT yields). Re whether current levels of government bond yields mean all businesses in Mexico should trade much lower than developed market counterparts, that's an interesting question that I think there could reasonably be different answers to depending on the specific business, especially on long-term pricing power and future needs for ongoing maintenance capex.

In the majority of cases where there is a commodity business with limited pricing power to keep up with domestic inflation and high ongoing needs for reinvestment in physical maintenance capex, there is going to be no power to earn returns in excess of inflation, and long-term returns should reasonably approximate local inflation (in local currency) plus a modest margin.

In cases where there appears to be a truly defensible high-RoE franchise (i.e. owning the national exchange, central securities depository & bond/repo counterparty, national indexes and associated financial data etc) coupled with low needs for ongoing physical maintenance capex, a net cash balance sheet, and meaningful ongoing returns of capital by dividends and buybacks, I'd argue this can create an intrinsically attractive setup where the company could sustain pricing power equal to or greater than domestic inflation and continue to invest at high RoEs while returning increasing cash flows to shareholders. This is what is making me interested in seeking out high-quality franchises in EM countries trading below developed norms; I'd also be interested to hear any other members' favorite ideas along these lines.